

PRA Glossary - I

Source: <https://www.prarulebook.co.uk/glossary?Date=03-03-2026>

Effective Date: 03-03-2026

Type: Glossary

Scraped: 2026-03-02 21:41

PRA Glossary - I

ICAAP assessment

means a firm's written record of the assessments required under the Internal Capital Adequacy Assessment Part.

ICAAP rules

means the rules in Chapter 3 (Strategies, processes and systems), Chapter 12 (Stress test and scenario analysis) and Chapter 13 (Documentation or risk assessments) of the Internal Capital Adequacy Assessment Part.

ICVC

means a body incorporated under the Open-Ended Investment Companies Regulations 2001 (SI 2001/1228).

IDD insurance intermediary

has the meaning given in Article 2(1)(3) of the Insurance Distribution Directive.

IDD reinsurance intermediary

has the meaning given in Article 2(1)(5) of the Insurance Distribution Directive.

IFRS firm

means a firm applying UK-adopted international accounting standards.

immaterial step-in entity

means a step-in entity which, when step-in risks are considered both individually and in combination with other similar entities, would not, given its size relative to the firm, materially impact the firm's liquidity or capital positions.

immediate group

This term is defined externally, please refer to: Section 421ZAFSMA

income protection insurance obligation

means an insurance obligation that covers the financial compensation referred to in (2) of the definition of health insurance obligation, other than the financial compensation referred to in (1) of the definition of health insurance obligation.

income protection policy

means a contract of insurance covering a person or specified group of persons that provides benefits in the form of regular payments to that person or those persons if they are unable, or have reduced capacity, to work because of illness or injury, to the extent of and in accordance with the terms of that contract of insurance.

income protection reinsurance obligation

means a reinsurance obligation which arises from accepted reinsurance covering income protection insurance obligations.

index-linked benefits

means benefits: (1) provided for under a linked long-term contract of insurance; and (2) determined by reference to an index of the value of property of any description (whether specified in the contract or not).

index-linked liabilities

means insurance liabilities in respect of index-linked benefits.

individual capital resources requirement

means: (1) in relation to an undertaking with a Part 4A permission, any capital requirement imposed by relevant provisions in the PRA Rulebook or FCA Handbook; or (2) in relation to any other subsidiary the shares of which a firm elects to value in accordance with Insurance Company - Overall Resources and Valuation 8.1, zero.

individual conduct requirements

means: (1) the Individual Conduct Rules and Senior Manager Conduct Rules in Conduct Rules 2 and 3; (2) the Individual Conduct Standards and Senior Manager Conduct Standards in Insurance - Conduct Standards 3; (3) the Individual Conduct Standards and Senior Manager Conduct Standards in Large Non-Solvency II Firms - Conduct Standards 3; (3A) the Individual Conduct Standards in Non-Solvency II Firms - Conduct Standards 2.

individual member

includes a member which is a limited liability partnership or a body corporate whose members consist only of, or of the nominees for, a single natural person or a group of connected persons.

infrastructure assets

means physical assets, structures or facilities, systems and networks that provide or support essential public services.

infrastructure entity

means an entity or corporate group which, during the most recent financial year of that entity or group for which figures are

available or in a financing proposal, derives the substantial majority of its revenues from owning, financing, developing or operating infrastructure assets.

initial margin

in respect of a derivative or a contract or asset having the effect of a derivative means assets which, before or at the time the contract is entered into, are transferred by the firm subject to a condition that such assets (or, where the assets transferred are securities, equivalent securities) will be returned to the firm on completion of that contract.

Institution

has the meaning given in point (3) of Article 4(1) of the CRR.

institution for occupational retirement provision

means an undertaking, irrespective of its legal form, operating on a funded basis, established separately from any sponsoring undertaking or trade for the purpose of providing retirement benefits in the context of an occupational activity on the basis of an agreement or a contract agreed: (1) individually or collectively between the employers and the employees or their respective representatives; or (2) with self-employed persons, in compliance with United Kingdom legislation; and which carries out activities directly arising therefrom.

institution-specific countercyclical capital buffer rate

has the meaning given in Capital Buffers 3.1(1A).

insurance accounts rules

means Schedule 1 to the Companies Act 1985 (Insurance Companies Accounts) Regulations 1993 (Form and Content of Accounts of Insurance Companies and Groups) where these provisions are applicable, otherwise Schedule 3 to the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 (SI 2008/410) (Insurance Companies: Companies Act Individual Accounts).

insurance business

means the regulated activities of effecting contracts of insurance or carrying out contracts of insurance.

insurance conglomerate

means a financial conglomerate that is identified in paragraph 3.1 of Annex 2 of the Financial Conglomerates Part as an insurance conglomerate.

insurance death risk capital component

means one of the components of the long-term insurance capital requirements as set out in Insurance Company - Capital Resources Requirements 15.2.

Insurance Directives

means the Consolidated Life Directive and the First Non-Life Directive, Second Non-Life Directive and Third Non-Life Directive.

insurance distribution

has the meaning given in Article 2(1)(1) of the Insurance Distribution Directive.

Insurance Distribution Directive

means the European Parliament and Council Directive of 20 January 2016 on insurance distribution (No 2016/97/EC).

insurance expense risk capital component

means one of the components of the long-term insurance capital requirements as set out in Insurance Company - Capital Resources Requirements 17.2.

Insurance Groups Directive

means Directive of the European Parliament and of the Council of 27 October 1998 on the supplementary supervision of insurance undertakings in an insurance group (1998/78/EC).

insurance health risk and life protection reinsurance capital component

means one of the components of the long-term insurance capital requirements as set out in Insurance Company - Capital Resources Requirements 16.1.

insurance holding company

means a parent undertaking, other than a UK Solvency II firm and a mixed financial holding company, the main business of which is to acquire and hold participations in subsidiary undertakings and which fulfils the following conditions: (1) its subsidiary undertakings are either exclusively or mainly UK Solvency II firms, third country insurance undertakings, third country reinsurance undertakings or ancillary insurance services undertakings; the subsidiary undertakings of a parent undertaking are mainly UK Solvency II firms, third country insurance undertakings, third country reinsurance undertakings or ancillary insurance services undertakings where more than 50% of two or more of: (a) the parent undertaking's consolidated assets; (b) the parent undertaking's consolidated revenues; (c) the group SCR (as if calculated at the level of the parent undertaking), are derived from subsidiaries that are UK Solvency II firms, third country insurance undertakings, third country reinsurance undertakings or ancillary insurance services undertakings; and (2) at least one of those subsidiary undertakings is a UK Solvency II firm. [Note: Art. 212(1)(f) of the Solvency II Directive]

insurance liabilities

in respect of a friendly society, means amounts calculated in accordance with Friendly Society - Liability Valuation in respect of those items shown at C and D under the heading "Liabilities" in Part I of Schedule 2 to the Accounts Regulations.

insurance market activities

means a regulated activity relating to contracts of insurance written at Lloyd's.

insurance market risk capital component

means one of the components of the long-term insurance capital requirements set out in Insurance Company - Capital Resources Requirements 18.1.

insurance risk transformation

means the regulated activity specified in Article 13A of the Regulated Activities Order (Transformer vehicles: insurance risk transformation).

insurance special purpose vehicle

The changes to this defined term are effective from 23:00 on 31/12/2020. means a UK ISPV.

insurance undertaking

means an undertaking or a member, that carries on insurance business, whether or not an insurer.

insurer

means a firm with permission to effect contracts of insurance or carry out contracts of insurance.

insurer under write-down

means an insurer other than a friendly society, in respect of which a write-down order has effect.

intermediary

means a person who in the course of any business or profession invites other persons to make offers or proposals or to take other steps with a view to entering into contracts of insurance with a friendly society, other than a person who only publishes such invitations on behalf of, or to the order of, some other person.

internal controls

means the whole system of controls, financial or otherwise, established by the management of a firm in order to: (1) carry on the business of the firm in an orderly and efficient manner; (2) ensure adherence to management policies; (3) safeguard the assets of the firm and other assets for which the firm is responsible; and (4) secure as far as possible the completeness and accuracy of the firm's records (including those necessary to ensure continuous compliance with the requirements or standards under the regulatory system relating to the adequacy of the firm's financial resources).

internal model

means the methodology used by a firm to calculate part or all of its SCR, or by a group to calculate part or all of its group SCR, in place of the standard formula.

internal model change policy

means the policy for making minor and major changes to an internal model that is (or is to be) covered by a firm's internal

model permission.

internal model permission

means: (1) the permission granted to a firm by the PRA pursuant to section 138BA of FSMA for the purpose of using an internal model to calculate part (partial internal model) or all of its SCR and making changes to that internal model; and (2) in relation to a UK Solvency II firm that is a member of a group, the permission granted to that firm by the PRA pursuant to section 138BA of FSMA for the purpose of using an internal model to calculate part (partial internal model) or all of its group SCR and making changes to that internal model.

internal model permission application

means an application by a firm for internal model permission.

internal model requirements

means Solvency Capital Requirement - Internal Models 10 to 16A.

internal model residual deviation

means a residual deviation, as determined by the PRA, in the risk profile of a UK Solvency II firm, or a group (as appropriate), from the assumptions underlying the SCR (or group SCR, as appropriate) in circumstances where the firm's SCR (or group SCR of the firm's group, as appropriate) is calculated using an internal model. For this purpose, assumptions include proposed assumptions in an internal model permission application.

internal model significant risk profile deviation

means the determination by the PRA of a significant deviation in the risk profile of a UK Solvency II firm, or a group (as appropriate), from the assumptions underlying the SCR (or group SCR, as appropriate) in circumstances where the firm's SCR (or the group's group SCR, as appropriate) is calculated using an internal model.

intra-group transaction

means: (1) all transactions by which regulated entities within a financial conglomerate rely directly or indirectly on other undertakings within the same group or on any natural or legal person linked to the undertakings within that group by close links, for the fulfilment of an obligation, whether or not contractual, and whether or not for payment; or (2) in the Reporting Part and in the Group Supervision Part means any transaction by which a Solvency II undertaking within a group relies directly or indirectly on any other undertaking within the same group or on any natural or legal person linked to an undertaking within that group by close links, for the fulfilment of an obligation, whether or not contractual, and whether or not for payment.

investment

means (in accordance with sections 22(4) of FSMA (Regulated activities) and section 93(2) of the Financial Services Act 2012) any investment, including any asset, right or interest.

investment firm

means any person whose regular occupation or business is the provision of one or more investment services to third

parties and/or the performance of one or more investment activities on a professional basis.

investment holding company

has the meaning given in point (22A) of Article 4(1) of the CRR.

investment services and/or activities

The changes to this defined term are effective from 23:00 on 31/12/2020. means any of the services and activities listed in Part 3 of Schedule 2 to the Regulated Activities Order, insofar as they relate to any of the instruments listed in Part I of Schedule 2 to that Order.

IP completion day

This defined term is effective from 23:00 on 31/12/2020. has the meaning given in section 39(1) of the European Union (Withdrawal Agreement) Act 2020.

IRPR regulations

means the Insurance and Reinsurance Undertakings (Prudential Requirements) Regulations 2023 (2023/1347).

issuer

means: (1) (in relation to any security) (other than a unit in a collective investment scheme) the person by whom it is or is to be issued; (2) (in relation to a unit in a collective investment scheme) the operator of the collective investment scheme; (3) (in relation to an interest in a limited partnership except for a partnership scheme) the partnership; (4) (in relation to certificates representing certain securities) the person who issued or is to issue the security to which the certificate or other instrument relates; or (5) an entity which issues transferable securities and, where appropriate, other financial instruments.